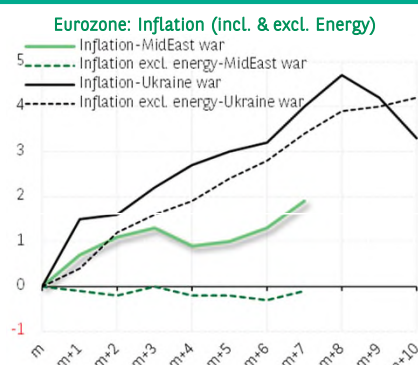


Eurozone: Amid rising inflation, the business climate remains resilient, but consumer confidence falls back

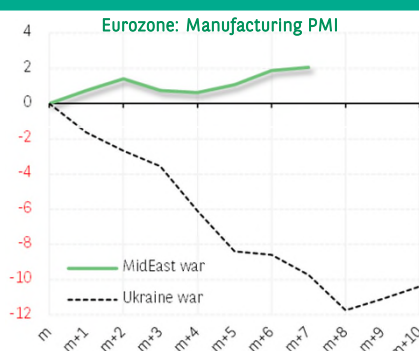
We have selected two inflation measures (with and without energy) and six survey indicators: 1/ & 2/ business confidence, as measured by the PMIs in the manufacturing and services sectors; 3/ & 4/ input and output prices components of the composite PMI (in order to identify direct inflationary pressures); 5/ the suppliers' delivery times component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); and 6/ consumer confidence (measured by the "assessment of financial situation in the next 12 months" in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The overall picture from the confidence surveys available for September is globally positive. According to the PMIs, the business climate in services has indeed seen a clear improvement, and that in the manufacturing sector remains comfortably in expansion territory for the 8th month in a row. However, consumer confidence has recorded its first decline in 5 months, likely driven by rising inflation and concerns over purchasing power. News on the inflation front is negative. PMI surveys report a strengthening of inflationary pressures: this trend is not a surprise given the tensions in energy prices, but it is nonetheless significant. As for inflation itself, it continues to rise, more markedly in September: +0.6 percentage points, to 3.8% year-on-year (Eurostat flash estimate), of which 0.4 pp du to the higher energy contribution. Inflation excluding energy increased as well, by 0.2 pp to 2.3% (of which 0.1 pp due to the rise in food inflation).

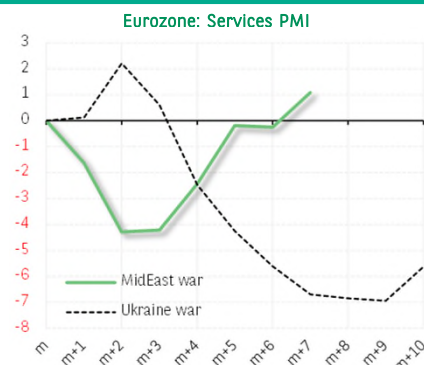
September 2026: Marked increase in inflation, to a 3-year high



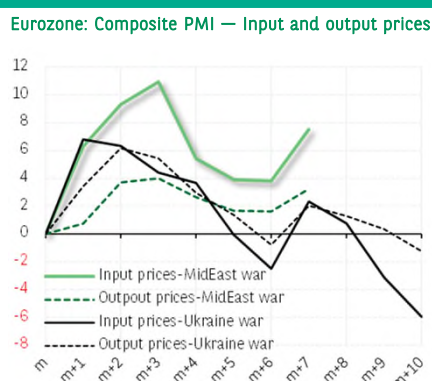
September 2026: Business climate in the manufacturing sector comfortably in the expansion zone for the 8th month in a row



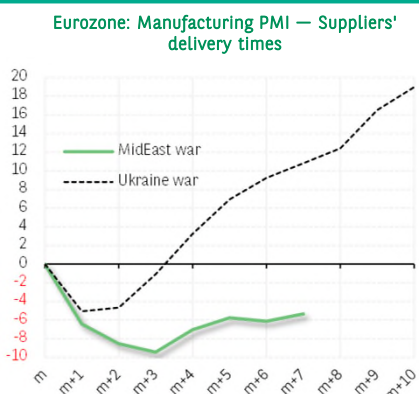
September 2026: Marked improvement in services business confidence



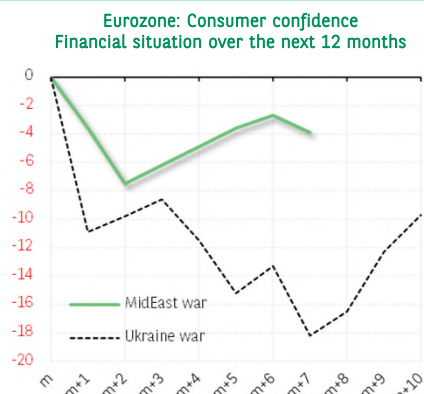
September 2026: Strengthening inflationary pressures



September 2026: Slight further increase in supply tensions



September 2026: First decrease in 5 months of household confidence



Change since m = 0 = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



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